

ECONOMIC APPLICATIONS

Maximum Marks : 100

Time allowed : Two hours

1. *Answers to this Paper must be written on the paper provided separately.*
 2. *You will **not** be allowed to write during the first 15 minutes.*
 3. *This time is to be spent in reading the question paper.*
 4. *The time given at the head of this Paper is the time allowed for writing the answers.*
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5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
 6. *The intended marks for questions or parts of questions are given in brackets[].*

Instruction for the Supervising Examiner

Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.

This paper consists of 12 printed pages.

SECTION A (40 Marks)

(Attempt *all* questions from this *Section*.)

Question 1

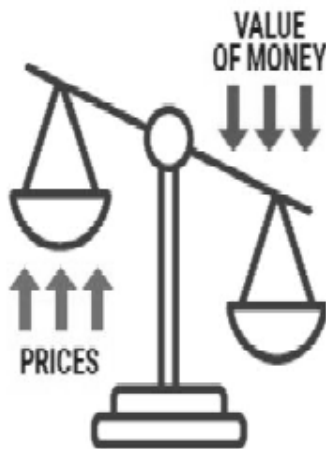
[20]

Choose the correct answers to the questions from the given options.

(Do not copy the questions, write the correct answers only.)

- (i) Quality, Quantity and Time are factors for measuring:
- (a) Efficiency of labour
 - (b) Incapability of labour
 - (c) Immobility of labour
 - (d) Inefficiency of labour
- (ii) **Assertion (A):** Diamonds are elastic in nature.
- Reason (R):** It is a luxury item of consumption.
- (a) (A) is true but (R) is false.
 - (b) (A) is false but (R) is true.
 - (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
 - (d) Both (A) and (R) are true but (R) is not the correct explanation of (A).
- (iii) If the price of a commodity falls by 10%, and consequently the quantity supplied decreases by 20%, then the elasticity of supply is:
- (a) 1
 - (b) 2
 - (c) 3
 - (d) 4

- (iv) If the price of commodity P decreases when compared to the price of commodity C, then the demand for commodity C:
- (a) will be high
 - (b) will increase
 - (c) will remain the same
 - (d) will decrease
- (v) Identify the fiscal policy adopted by the government in the given condition below:



- (a) Increase in Tax Rate
- (b) Increase in Repo Rate
- (c) Increase in Government Expenditure
- (d) Decrease in CRR

(vi) Match the following:

1	Higher standard of living	P	Increase in labour productivity
2	Removal of income inequality	Q	Higher per-capita income
3	Capital formation	R	Impose higher income on the rich people
4	Creation of healthy working conditions	S	Growth in items of factories, roads, machinery etc.

- (a) 1-R, 2-S, 3-Q, 4-P
- (b) 1-P, 2-Q, 3-R, 4-S
- (c) 1-R, 2-Q, 3-S, 4-P
- (d) 1-Q, 2-R, 3-S, 4-P

(vii) Identify the tax structure given below:

Income	Rate of Tax (%)
4000	20
6000	19
8000	18
10000	17

- (a) Proportional Tax
- (b) Progressive Tax
- (c) Regressive Tax
- (d) Degressive Tax

- (viii) 'Money allows people to borrow and lend.'

State the function of money stated above.

- (a) Medium of exchange
 - (b) Standard of deferred payment
 - (c) Store of value
 - (d) Measure of value
- (ix) The degree of responsiveness of quantity supplied to a change in price is _____.
- (a) Elasticity of Demand
 - (b) Consumer Equilibrium
 - (c) Elasticity of Supply
 - (d) Market Demand
- (x) Observe the image given below and identify the type of capital.

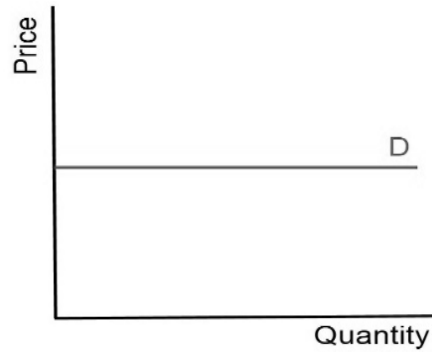


- (a) Debt Capital
- (b) Sunk Capital
- (c) Circulating Capital
- (d) Fixed Capital

- (xi) **Assertion (A):** Direct Taxes cannot be shifted from one person to another.
Reason (R): The burden of Direct Tax falls on the same person who pays it.
- (a) (A) is true but (R) is false.
 - (b) (A) is false but (R) is true.
 - (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
 - (d) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (xii) If an increase in the price of butter increases the demand of margarine, these two are:
- (a) Complementary goods
 - (b) Substitute goods
 - (c) Normal goods
 - (d) Inferior goods
- (xiii) Which of the following is an exception to the functions of an entrepreneur?
- (a) Decision making
 - (b) Budgeting
 - (c) Coordinating
 - (d) Banking
- (xiv) Which of the following is **NOT** a function of a commercial bank?
- (a) Providing subsidy
 - (b) Providing cheque facility
 - (c) Providing ATM facility
 - (d) Providing long term loans

- (xv) Which type of good experiences a rise in demand when its price increases?
- (a) Normal good
 - (b) Inferior good
 - (c) Giffen good
 - (d) Luxury good
- (xvi) The reward of Labour is _____.
- (a) Rent
 - (b) Wage
 - (c) Interest
 - (d) Profit
- (xvii) In which of these production processes is division of labour **NOT** possible?
- (a) Manufacturing textiles
 - (b) Automobile production
 - (c) Production of steel
 - (d) Painting a picture
- (xviii) The Public sector refers to enterprises owned and controlled by:
- (a) Private individuals
 - (b) Government
 - (c) Foreign companies
 - (d) NGOs

- (xix) Observe the graphical representation and identify the degree of elasticity of demand.



- (a) $e_s = \infty$
 - (b) $e_s > 1$
 - (c) $e_s < 1$
 - (d) $e_s = 1$
- (xx) A favourable climate for farming leads to:
- (a) Fall in supply
 - (b) Rise in supply
 - (c) No change in supply
 - (d) Fall in demand

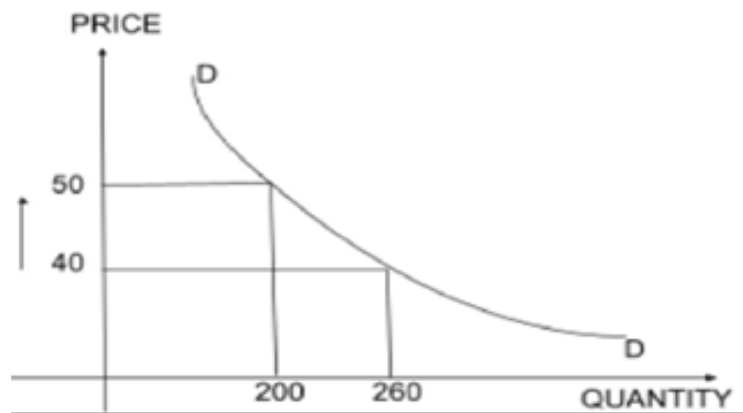
Question 2

- (i) 'Capital is a passive factor of Production.' Elaborate. [2]
- (ii) The demand for electricity remains almost unchanged even when its price rises. [2]
Explain.

- (iii) Mention *two* points of difference between *Fixed Deposit* and *Recurring Deposit*. [2]
- (iv) What is meant by a *normal good*? [2]
- (v) Why do producers gain in the short run during inflation? [2]

Question 3

- (i) State *any two* similarities between *monopolistic market* and *perfectly competitive market*. [2]
- (ii) Calculate the price elasticity of demand from the curve given below. [2]



- (iii) Mention *any two* advantages of division of labour. [2]
- (iv) 'Mining activities have negative impact on the ecosystem.' Give *two* reasons to justify the statement. [2]

- (v) Observe the given image and answer the questions that follow. [2]



- (a) Identify the type of capital shown in the above image.
(b) State *any one* characteristic of the type of capital identified above.

SECTION B (60 Marks)

(Answer *any four* questions from this *Section*.)

Question 4

- (i) (a) Explain the concept of *tax*. [7]
(b) What is *degressive taxation*? Explain using a diagram.
(ii) The government compares *two* markets: [8]

Market A: Tomatoes sold by thousands of farmers where each product is identical.

Market B: Water services are operated only by the National Water Supply Corporation (NWSC).

- (a) Identify Market A and Market B.
(b) State *three* features of the above identified markets.

Question 5

- (i) (a) What is *cash credit*? [7]
- (b) How does *loan* differ from *overdraft* facilities?
- (c) Discuss *any two* agency functions performed by Commercial Banks.
- (ii) Observe the picture below and answer the following questions. [8]



- (a) What does the rising arrow in the image indicate?
- (b) How does it affect wage earners, debtors, and creditors?

Question 6

- (i) (a) Prepare a hypothetical individual supply schedule and draw a graph based on the schedule. [7]
- (b) Explain *any two* characteristics of Land.
- (ii) Differentiate between *Extension of Demand* and *Increase in Demand*. [8]

Question 7

- (i) (a) Mention the *two* types of risks the entrepreneur bears. [7]
- (b) Differentiate between *labour* and *entrepreneur*.
- (c) Explain *any three* problems of Public Sector Units.

- (ii) 'Deforestation or desertification is the felling of trees in an area'. [8]
Explain *any four* causes of deforestation.

Question 8

- (i) (a) Explain *labour* in economics. [7]
(b) Explain *any three* disadvantages of division of labour.
- (ii) Elaborate *any four* factors affecting capital formation. [8]

Question 9

- (i) Read the extract given below and answer the questions that follow: [7]

The Economic Times- August 12, 2025

India's banking sector has undergone a massive transformation, driven by UPI and the establishment of Digital Banking Units (DBU) to faster financial inclusion. While this digital shift enhanced access, it also introduced risks, including increased unsecured lending and cybersecurity challenges related to digital fraud.

- (a) Define *money*.
- (b) State *three* reasons why people deposit their money with banks.
- (c) Mention *any one* risk of digital banking.
- (ii) (a) How does *Bandwagon Effect* violate the law of demand? Elaborate with an example. [8]
- (b) Explain how *Bank Rate* and *CRR* help in controlling the flow of credit in the economy.